

21STCV28051 21STCV28051

County: los-angeles

Division: Civil Law and Motion

Department: 512

Hearing date: 2026-09-17

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Case Number: 21STCV28051 Hearing Date: September 17, 2026 Dept: 512

HEARING DATE: Thurs., September 17, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Tenorio,

et al. v. Joya Food Enterprises, et al. COMPL. FILED: 06-30-21

CASE NUMBER: 21STCV28051

NOTICE: OK

PROCEEDINGS: MOTION

FOR APPROVAL OF REPRESENTATIVE ACTION SETTLEMENT

MOVING PARTY: Plaintiffs

Karina Lepe Tenorio

RESP. PARTY: None

MOTION TO APPROVE PAGA SETTLEMENT

(Lab. Code, § 2699)

TENTATIVE RULING:

Plaintiffs' Motion for Approval of the

Parties' PAGA Settlement is CONTINUED to Monday, October 19, 2026 at 9:00 a.m.

in Department 512 at the STANLEY MOSK COURTHOUSE.

At least 16 court days before the next

scheduled hearing, Plaintiff must file and serve supplemental papers addressing the deficiencies discussed herein.

Moving parties are ordered to give notice.

SERVICE:

☒ Proof of
Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address
(CCP §§ 1013, 1013a) OK

☒ 16/21 Court
Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: None
filed as of September 15, 2026 ☐ Late ☒
None

REPLY: None
filed as of September 15, 2026 ☐
Late ☒ None

ANALYSIS:

I.
Background

On July 30, 2021, Plaintiff Karina Lepe Tenorio ("Plaintiff"), as an individual and on behalf of all others similarly situated, filed a Complaint Under the Labor Code Private Attorneys General Act ("PAGA") against Defendants Joya Food Enterprises, Inc.; Canelo Enterprises, Inc.; Gonzalez Management Company, Inc.; Jalos Food Enterprises, Inc.; Santa Isabel Enterprises, Inc.; Zevada Enterprises, Inc.; and Zixta Enterprises, Inc. ("Defendants") and Does 1-10.

On September 7, 2021, Defendants filed an Answer to the Complaint.

On May 18, 2026, the parties' counsel reported to the Court that a settlement agreement was almost complete. (5/18/26 Order.)

On July 14, 2026, Plaintiff filed the instant Motion for Court Approval of the Parties' PAGA Settlement (the "Motion").

On July 21, 2026, the Court, in pertinent part, advanced and continued the hearing on the Motion from October 14, 2026, to September 17, 2026. (7/21/26 Order.)

On July 29, 2026, Plaintiff filed and served Notice of Advanced Hearing on the Motion.

To date, no Opposition to the Motion has been filed.

II. Legal Standard

Given that the pertinent PAGA notices in this matter were sent to the Labor and Workforce Development Agency (LWDA) prior to June 19, 2024, the Court applies certain PAGA requirements in effect prior to the new requirements established in 2024 by S.B. 92 and A.B. 2288.

Former Labor Code section 2699(l)(2) stated: "The superior court shall review and approve any settlement of any civil action filed pursuant to this part [Labor Code Private Attorneys General Act of 2004 ("PAGA")]. The proposed settlement shall be submitted to the [Labor and Workforce Development Agency ("LWDA")] at the same time that it is submitted to the court."

An application for approval of such a settlement must demonstrate that the proposed settlement is fair, adequate, and reasonable to all those affected by it. *Williams v. Superior Court* (2017) 3 Cal.5th 531, 549; *Nordstrom Com. Cases* (2010)

186 Cal.App.4th 576, 579.)

In determining whether a settlement falls within the parameters of what may be considered fair, adequate, and reasonable, courts regularly rely on “ ‘the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement.’ ” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130, 131-132.) Other important indicia of fairness include arms'-length negotiations, experienced counsel, and an adequate investigation of the claims. (Id., at pp. 129-130.)

Formerly, seventy-five percent of all PAGA penalties must be paid to the LWDA. (See former Lab. Code, § 2699(i) [“Except as provided in subdivision (j), civil penalties recovered by aggrieved employees shall be distributed as follows: 75 percent to the Labor and Workforce Development Agency for enforcement of labor laws and education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 25 percent to the aggrieved employees.”].) Courts have discretion to approve settlements that do not allocate any penalty amount. (Nordstrom Com. Cases, supra, 186 Cal.App.4th at p. 589).

Former Labor Code § 2699(g)(1) provided, in relevant part: “Any employee who prevails in any action shall be entitled to an award of reasonable attorney's fees and costs” (Lab. Code, § 2699(g)(1).)

III.

Discussion

Plaintiffs move for approval of the parties' PAGA settlement.

The Agreement

Here, Plaintiff provides evidence of Plaintiff's counsel's experience and states that, after engaging in discovery and extended arms-length negotiations, the parties were able to reach a settlement of Plaintiff's PAGA claims. (Motion, Perez

Decl.) The parties executed the PAGA Settlement Agreement in May 2026. (Motion, Perez Decl., Exh. 1.) Pursuant to the settlement agreement, the parties agreed that Defendants would pay a total of \$2,735,000 to settle the PAGA claims. (Motion, Perez Decl., Exh. 1, ¶ 10.) The parties have agreed to a proposed distribution of the gross settlement as follows: (1) not more than \$911,666 for attorney's fees; (2) not more than \$75,000 for costs and expenses; (3) \$30,000 for settlement administration costs given there are approximately 10,300 aggrieved employees; (4) \$10,000 for Plaintiff's service payment and \$5,000 to Plaintiff's counsel; and (5) the PAGA Payment—i.e., the amount remaining from the gross settlement amount after deducting attorney's fees, litigation costs, settlement administration costs, and Plaintiff's service payment—for PAGA penalties wherein 75 percent would be paid to the LWDA and 25 percent would be paid to all aggrieved employees. (Motion, Perez Decl., Exh. 1, ¶¶ 10-14.)

As to the \$2,735,000 gross settlement amount, Plaintiff provides evidence that Plaintiff's counsel believes the settlement is fair, reasonable, and adequate, and the settlement was a result of the parties' acceptance of a mediator's proposal. (Motion, Perez Decl., ¶¶ 10-11.) Further, the Motion states that Defendants' exposure would be approximately \$59.3 million. (Motion, p. 15.)

With respect to the PAGA Payment, the Court finds that the distribution substantially complies with former Labor Code section 2699(i), which required 75 percent of the amount to be paid to the LWDA and 25 percent of the amount to be paid to the aggrieved employees, which here consists of "all persons who were employed by Defendants in California as non-exempt, hourly-paid employees at any time from May 25, 2020 through March 5, 2026." (Motion, Perez Decl., Exh. 1.) The estimated PAGA Payment is approximately \$1,306,540.99 paid to the LWDA and \$435,513.66 paid to the Aggrieved Employees. (Motion, p. 8.) Plaintiffs also understand there to be about 592,474 pay periods. (Motion, p. 14.)

The Court finds the PAGA Payment amounts satisfactorily reflect 75 percent of the net settlement amount to be paid to LWDA and 25 percent of the net settlement amount to be paid to the Aggrieved Employees. Further, these amounts match the amounts stated in the Proposed Order accompanying the Motion. (Proposed Order, p. 3.)

As to the terms of the release, the Court finds the general release under the PAGA Settlement Agreement is fair and reasonable under the statute. The release as to the PAGA aggrieved employees is appropriately limited to “any and all Settled Claims during the Settlement Period. Aggrieved Employees, other than Plaintiff, will not be deemed to have released any individual wage and hour claims by virtue of this Settlement.” (Motion, Perez Decl., Exh. 1, ¶ 19.)

The Settlement Agreement also provides for a separate, more encompassing release for Plaintiff herself and allots her an extra \$10,000 and her counsel an extra \$5,000 separately from the rest of the Settlement Agreement. (Motion, Perez Decl., Exh. 1, ¶ 13.)

Attorney's Fees

Here, Plaintiff's counsel provides evidence of a declaration from one of Plaintiff's counsel describing counsel's background and including a summary chart of attorney's fees and costs. (Motion, Perez Decl.) The fees are summarized as follows:

Attorney

Title

CA Bar Yr.

Rate

Hours

Fees

Raul Perez

Partner

1994

\$1,050

43

\$45,150.00

Liana Carter

Senior Counsel

1999

\$900

154.4

\$138,960.00

Melissa Grant

Partner

1999

\$900

43.1

\$38,790.00

Ryan Wu

Partner

2002

\$850

30.7

\$26,095.00

Orlando Villalba

Senior Counsel

2004

\$800

301.5

\$241,200.00

Helga Hakimi

Senior Counsel

2008

\$725

347.5

\$251,937.50

Roxanna Tabatabaeepour

Senior Counsel

2008

\$725

79.8

\$57,855.00

Tyler Anderson

Associate

2014

\$625

33.9

\$21,187.50

Joey Parsons

Fmr. Associate

2021

\$500

65.7

\$32,850.00

Jaime Castaneda

Fmr. Associate

2022

\$475

59.4

\$28,215.00

Total

1159

\$882,240.00

(Motion, pp. 18-20, Perez Decl., p. 9)

However, Plaintiff fails to provide any billing records or an otherwise itemized account for the fees incurred in this matter. Rather, Plaintiff provides a single declaration inclusive of the above chart alone to support the nearly \$1 million request for attorney's fees. Further, the Motion states that the Motion is applying a 1.03 multiplier to the lodestar yields in the requested fee amount of \$882,240. (See Motion, p. 21.) Absent further evidence and itemization, the Court is unable to determine if the requested fees, let alone a multiplier, are warranted and/or reasonable.

Also, the Court is unclear whether the fee summary in the Perez declaration and the total requested fee amount accounts for the separately allocated fees of \$5,000 for Plaintiff's counsel pursuant to the individual release of Plaintiff in the settlement agreement. (Motion, Perez Decl., Exh. 1, ¶ 13.)

Given these deficiencies, the Court is unable to find the fees reasonable based on the evidence presently before the Court.

Plaintiff's counsel provides counsel's declaration to support the requested costs and expenses in this matter. (Motion, Perez Decl.) Plaintiff requests \$50,979.35 in costs and fees, reflecting \$409.26 in arbitration fees; \$4.75 in copying, printing & scanning and fax fees; \$3,222.18 in court fees, courier fees, filing and service of process fees; \$8,052.67 in court reporter, transcripts, and depositions fees; \$7,060.00 in Fountain Consulting fees; \$2,586.25 in private investigator fees; \$28,250.00 in mediation fees; and \$1,394.24 in research service fees (PACER, Westlaw, etc.). (Motion, pp. 22-23, Perez Decl., p. 11.)

Upon review of the declaration, moving papers, and the record, the Court finds these costs to be reasonable.

Plaintiffs' Service Payment

As to Plaintiff's service payment of \$10,000, Plaintiff Karina Lepe Tenorio provided a declaration setting forth the actions Plaintiff Lepe Tenorio undertook in litigating this action, including engaging in legal conferences with counsel; reviewing the claims presented in the instant action; discussing details of Plaintiff's employment at Defendants with counsel; preparing written discovery responses; being deposed and

reviewing the deposition transcript; and reviewing the subject settlement. (Motion, Lepe Tenorio Decl., ¶¶ 1-15.)

The Court finds Plaintiff's service payment of \$10,000 to be reasonable.

Settlement Administration Costs

With respect to the settlement administration costs of \$30,000, Plaintiff neither files any evidence, such as a declaration from the settlement administrator, nor detailed explanation to support the requested \$30,000. However, the Court notes the Settlement Agreement states this amount is due to the fact that there are approximately 10,300 aggrieved employees. (Motion, Perez Decl., Exh. 1, ¶¶ 10-14.)

LWDA Service Requirement

As to the LWDA service requirement, Plaintiff submitted evidence demonstrating Plaintiff's counsel submitted a copy of the Settlement Agreement to the LWDA on July 14, 2026. (Motion, 7/14/26 Notice, Exh. 1.)

Based on the foregoing, the Motion is
CONTINUED.

Plaintiff is ordered
to submit supplemental papers addressing the deficiencies noted
herein.

IV.

Conclusion
& Order

For the foregoing reasons, Plaintiffs'
Motion for Approval of the Parties' PAGA Settlement is CONTINUED to Monday,
October 19, 2026 at 9:00 a.m. in Department 512 at the STANLEY MOSK COURTHOUSE.

At least 16 court days before the next
scheduled hearing, Plaintiff must file and serve supplemental papers addressing
the deficiencies discussed herein.

Moving parties are ordered to give notice.